

5-3 The Adjusting Process

The chart of accounts ([Exhibit 2](#)) and the recording of transactions for a retail business (NetSolutions) have been described and illustrated. Next, the adjusting process for a retail business is described and illustrated. This discussion focuses on the following adjusting entries that differ from those of a service business:

Objective 3 - Describe and illustrate the adjusting process for a retail business.

- Inventory Shrinkage
- Customer Returns and Allowances